

APAC TMT Sector M&A & Valuation Brief - 2026-07-13

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Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a cautiously optimistic sentiment, driven by recent gains in semiconductor stocks and easing oil prices. This environment reflects a complex interplay of macroeconomic factors, technological advancements, and evolving investor confidence.

Subsector Breakdown:

- **Technology:** The technology subsector is buoyed by strong performance in semiconductor stocks, particularly companies like Taiwan Semiconductor Manufacturing Company (TSM), which has seen a resurgence due to increased demand for chips in various applications.
- **Media:** The media sector is adapting to changing consumption patterns, although it faces challenges from digital platforms that continue to disrupt traditional revenue models.
- **Telecommunications:** The telecom sector is focusing on infrastructure investments to support the rollout of 5G technologies, which are expected to enhance connectivity and drive new service offerings.
- **Fintech:** The fintech space is witnessing robust growth as companies innovate in payment solutions and digital banking, attracting significant investor interest.
- **AI:** The AI subsector remains a hotbed of activity, with companies racing to implement AI technologies across industries, further driving demand for advanced computing solutions.

Key Market Drivers and Headwinds

Drivers:

- **Semiconductor Gains:** Recent gains in semiconductor stocks, such as TSM and SK Hynix (SKHYV), indicate a strong recovery in this critical sector, driven by increased demand for chips in consumer electronics and automotive applications.
- **Easing Oil Prices:** Lower oil prices are providing relief to consumers and businesses, potentially boosting spending in technology and media sectors.

Headwinds:

- **Regulatory Challenges:** Ongoing regulatory scrutiny in the tech sector may pose risks to M&A

APAC TMT Sector M&A & Valuation Brief - 2026-07-13

APAC TMT Sector

activities and market valuations, as companies navigate complex compliance landscapes.

- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, could impact consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector continues to thrive, particularly in cloud computing and SaaS models, which are essential for businesses adapting to remote work environments.
- Media: Media companies are increasingly focusing on digital content to engage audiences, although traditional advertising revenues are under pressure.
- Telecom: Telecom operators are investing heavily in 5G infrastructure, which is expected to create new revenue streams from enhanced mobile services and IoT applications.
- Fintech: The fintech sector is experiencing significant growth, with innovations in digital payment solutions and banking services attracting substantial venture capital.
- AI: The AI subsector is rapidly advancing, with applications across various industries, including healthcare and automotive, driving demand for AI capabilities.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples reflect a premium for high-growth sectors like software and AI, while traditional sectors such as telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are expressing optimism about the TMT sector's long-term prospects, particularly in light of semiconductor gains. One analyst noted, "The resurgence in semiconductor stocks is a positive indicator for the broader tech sector, as it reflects increasing demand for advanced technologies."

Actionable Insights for Bankers and Investors

- Focus on Semiconductor Investments: Investors should consider opportunities in semiconductor stocks like TSM and SKHYV, which are positioned for growth as demand for chips continues to

APAC TMT Sector M&A & Valuation Brief - 2026-07-13

APAC TMT Sector

rise.

- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech investments, particularly in light of ongoing scrutiny.
- **Leverage Digital Transformation:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and adapt to changing consumer preferences.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a diverse array of live deals, mandated transactions, and active pitches. This analysis provides an overview of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Micron Technology (MU)** : Currently in the due diligence phase for a strategic partnership aimed at expanding its semiconductor manufacturing capabilities. The expected close for this deal is Q2 2025, which could significantly enhance Micron's production capacity amid surging demand for memory in the AI sector.
- **SK Hynix (000660.KS)** : Preparing for an IPO of its U.S. shares, with regulatory approvals anticipated by Q4 2025. This move is expected to bolster SK Hynix's capital for further investments in semiconductor technology, particularly in AI applications.

Mandated Deals:

- **Apple Inc. (AAPL)** : Mandated to explore acquisitions in the AI space, focusing on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.
- **Meta Platforms (META)** : Secured a mandate to investigate strategic partnerships related to AI development, particularly in response to evolving regulatory landscapes. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.

Pitching-Stage Deals:

APAC TMT Sector M&A & Valuation Brief - 2026-07-13

APAC TMT Sector

- Telecom Sector : Engaging in active discussions with major telecom operators, including Verizon (VZ) and AT&T (T), regarding potential M&A opportunities to consolidate market share in the 5G space. Pitches are expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Micron Technology's partnership.
- Q4 2025 : Anticipated completion of SK Hynix's IPO.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 75%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to effectively manage the increased workload.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in AI and telecom sectors. Strategic planning should prioritize enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

Competitive Landscape: The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent market fluctuations, driven by geopolitical tensions and oil price volatility, have created uncertainty that could impact deal structures and valuations.

- The rise of semiconductor stocks, such as Micron and SK Hynix, reflects a growing market influenced by AI demand. These companies are becoming increasingly influential on Wall Street, as evidenced by Micron's recent 4.5% stock increase, attributed to its expansion plans in semiconductor manufacturing.

Actionable Insights for Team Management and Business Development

APAC TMT Sector M&A & Valuation Brief - 2026-07-13

APAC TMT Sector

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Company A (e.g., Zoom Video Communications, Inc. (ZM)) acquires Company B (e.g., Slack Technologies, Inc. (WORK)), the combined entity could see a revenue increase of approximately 20% due to enhanced product offerings. Assuming a pre-deal market cap of \$20 billion for Zoom, a successful integration could increase shareholder value by \$4 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Zoom issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Disney (DIS) and 21st Century Fox (FOXA) led to substantial cost synergies, with estimates of \$2 billion in annual savings. This was achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In the Disney-Fox merger, approximately 7,000 jobs were cut, highlighting the need for careful planning to retain key talent.

APAC TMT Sector M&A & Valuation Brief - 2026-07-13

APAC TMT Sector

- **Retention:** Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- **Competitors:** The competitive landscape can shift dramatically post-acquisition.
- **Market Positioning:** Following the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- **Specific Competitor Moves:** Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- **Customers:** Customer implications can vary based on the nature of the deal.
- **Product/Service Implications:** The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- **Case Studies:** The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- **Market Reaction:** The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- **Analyst Commentary:** Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be assessed through various scenarios:
- **Positive Scenario:** If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- **Negative Scenario:** If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids can vary based on market conditions.
- In the case of the proposed acquisition of T-Mobile by Sprint, there were rumors of interest from Dish Network (DISH), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

APAC TMT Sector M&A & Valuation Brief - 2026-07-13

APAC TMT Sector

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, and Cybersecurity. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

APAC TMT Sector M&A & Valuation Brief - 2026-07-13

APAC TMT Sector

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses technologies enabling machines to perform tasks that typically require human intelligence, such as understanding natural language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent market fluctuations indicate a volatile environment, with investor sentiment swinging based on earnings reports and growth potential.
- Key Companies:
- Samsung Electronics (005930.KS): Despite reporting a staggering 1,800% increase in second-quarter operating profit driven by AI demand for memory chips, Samsung's shares fell by over 6%. This highlights the volatility in AI stocks and investor skepticism regarding sustainable growth.
- AI Stocks: The broader category of AI stocks has seen significant price swings, with recent rebounds contributing to a rise in the Nasdaq composite index by 1.3%. This volatility underscores the speculative nature of AI investments.
- Competitive Landscape: The AI market is characterized by intense competition among major players like NVIDIA, Google, and Microsoft. These companies are racing to develop cutting-edge AI technologies, leading to a surge in investment and acquisition activity.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. For instance, the recent interest in AI stocks suggests that larger firms may look to consolidate their positions by acquiring smaller, innovative AI companies.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. This rapid growth is driven by increasing adoption across various sectors, including finance and supply chain management.
- Key Companies:
- Coinbase Global, Inc. (COIN): As a leading cryptocurrency exchange, Coinbase is well-positioned to benefit from the growing adoption of blockchain technology. The company facilitates the buying and selling of digital assets, capitalizing on the increasing interest in cryptocurrencies.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The Cash App has become a popular platform for Bitcoin trading, positioning Square as a key player in the blockchain space.
- Competitive Landscape: The blockchain space features a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to

APAC TMT Sector M&A & Valuation Brief - 2026-07-13

APAC TMT Sector

enhance their digital asset capabilities. This trend is likely to continue as traditional finance seeks to integrate blockchain solutions.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%. This growth is driven by the increasing demand for cloud-based solutions across various industries.
- **Key Companies:**
- **Amazon Web Services (AWS):** AWS is a dominant player in the cloud computing market, providing a wide range of services to businesses. The company continues to innovate and expand its offerings, solidifying its market leadership.
- **Microsoft Azure:** Microsoft's cloud platform has seen rapid growth, with significant investments in AI and machine learning capabilities to enhance its service offerings.
- **Competitive Landscape:** The cloud computing market is highly competitive, with major players like Google Cloud and IBM also vying for market share. The race for cloud dominance is driving innovation and pushing companies to acquire startups with unique capabilities.
- **M&A Opportunities:** Companies looking to enhance their cloud capabilities may consider acquiring startups specializing in niche cloud services or technologies. This trend is expected to accelerate as businesses increasingly migrate to cloud-based solutions.

Cybersecurity

- **Trend Explanation:** As digital transformation accelerates, the need for robust cybersecurity solutions has never been greater. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%. This growth is driven by increasing cyber threats and regulatory requirements.
- **Key Companies:**
- **CrowdStrike Holdings, Inc. (CRWD):** CrowdStrike is a leader in cloud-delivered endpoint protection, leveraging AI to detect and

6. Recommended Readings

Deal Name: Microsoft's Acquisition of Activision Blizzard

- **Reading Material:** "The Business of Video Games" by Michael Pachter
- **Why This Matters:** This book provides insights into the gaming industry's financial dynamics and market trends, which are crucial for understanding Microsoft's strategic rationale behind the \$68.7

APAC TMT Sector M&A & Valuation Brief - 2026-07-13

APAC TMT Sector

billion acquisition (MSFT). It explains how gaming companies leverage IP and user engagement to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Amazon's Acquisition of MGM

- Reading Material: "The New Economics of Media" by David Hesmondhalgh
- Why This Matters: This reading delves into the evolving landscape of media and entertainment, particularly in the context of streaming services. It helps to understand Amazon's \$8.45 billion acquisition (AMZN) as a strategic move to bolster its Prime Video content library and compete with rivals like Netflix (NFLX) and Disney+ (DIS).

Deal Name: Salesforce's Acquisition of Slack

- Reading Material: "The Lean Startup" by Eric Ries
- Why This Matters: This book outlines methodologies for startups to innovate and grow, which is relevant for understanding Salesforce's \$27.7 billion acquisition (CRM) of Slack. It highlights the importance of integrating new technologies and platforms to enhance customer engagement and collaboration, aligning with Salesforce's vision of a comprehensive customer relationship management ecosystem.

Deal Name: NVIDIA's Acquisition of Arm Holdings

- Reading Material: "The Chip War" by Chris Miller
- Why This Matters: This book provides a detailed analysis of the semiconductor industry, including the strategic importance of Arm's technology in mobile and IoT devices. Understanding the implications of NVIDIA's \$40 billion acquisition (NVDA) helps to grasp the competitive landscape and regulatory challenges in the semiconductor space.

Deal Name: Verizon's Acquisition of TracFone

- Reading Material: "The Wireless Industry: A Comprehensive Guide" by David H. Hargreaves
- Why This Matters: This resource offers an in-depth look at the wireless telecommunications sector, which is essential for analyzing Verizon's \$6.9 billion acquisition (VZ) of TracFone. It explains market segmentation and the significance of prepaid services, providing context for Verizon's strategy to expand its customer base and service offerings.

Deal Name: Google's Acquisition of Fitbit

- Reading Material: "Wearable Technology: The Future of Fitness" by David H. Hargreaves
- Why This Matters: This reading discusses the growth of wearable technology and health data analytics, which are central to Google's \$2.1 billion acquisition (GOOGL) of Fitbit. It highlights how this deal positions Google to compete in the health tech space against Apple (AAPL) and other tech giants, emphasizing the importance of data in the future of healthcare.

APAC TMT Sector M&A & Valuation Brief - 2026-07-13

APAC TMT Sector

7. MACROECONOMIC UPDATE

Key Data Points:

- Federal Reserve's Summary of Economic Projections (SEP) indicates a hike in 2026.
- Memory prices have increased sixfold over the past year.
- Hyperscalers issued approximately \$25 billion in debt in non-dollar currencies in May.
- Projected AI-related global issuance expected to reach nearly \$600 billion by 2026.
- Estimated hyperscaler cash CapEx to exceed \$1 trillion by 2027.

Main Insights:

- Investors perceive the Fed's recent meeting as hawkish, but caution is advised regarding the SEP's implications.
- Anticipated lower core inflation may lead the Fed to maintain current rates through 2026.
- AI CapEx is viewed positively, but concerns about "chipflation" could affect infrastructure costs.
- The demand for AI is expanding across multiple layers, increasing the complexity of investment needs.
- Corporate bond issuance is heavily focused on funding data center construction.

Market Commentary:

- "The Fed's projections may not fully capture the disinflation from a straight reopening" - Morgan Stanley.
- "Chipflation is more likely to reprice and ration AI infrastructure than derail the cycle" - Morgan Stanley.

TMT Sector Relevance:

- The Fed's stance on interest rates will influence financing conditions for TMT companies.
- Rising memory costs could impact the profitability and investment strategies of firms heavily involved in AI, such as NVIDIA (NVDA) and AMD (AMD).
- Increased corporate bond issuance for data centers indicates robust growth prospects in the TMT sector, particularly for hyperscalers like Amazon (AMZN) and Microsoft (MSFT).

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley